

Our climate change initiatives : Disclosure based on TCFD

Risk Management

- ◆ Our Group's activities cover businesses across a broad range of fields and regions, and involve various social issues. We always attach great importance to these social issues, and in order to appropriately control the social and environmental impact of the entire Group's business activities, establish policies such as the Environmental Policy, Human Rights Policy, CSR Action Guidelines for Supply Chain Management, Anti-Corruption Policy, and Compliance Guiding Principles, and publicize and thoroughly enforce them within the Group.
- ◆ We evaluate social and environmental risk and confirm response measures as part of our deliberation processes when considering and implementing new business from a broad perspective. In particular, with regard to climate change, we confirm the following with regard to risks (and opportunities) related to business continuity being impeded by the inability to appropriately respond to changes in the business environment resulting from social and environmental problems such as climate change.
 - The impact of climate change such as the frequent occurrence of natural disasters and abnormal weather
 - The impact of the introduction of regulations
 - The impact of technology changes, etc.
 - The potential for the expansion of business or the improvement of business performance through advances in climate change mitigation and adaptation to climate change
- ◆ With regard to our existing business, as well, we regularly monitor the overall management status of these risks to each business, including social and environmental risks. In addition to managing risk related to individual businesses, we assess the status of companywide social and environmental risks and develop systems that enable these assessments to be used to make strategic management decisions.
- ◆ With regard to the handling of the risks of climate change, each business unit assesses the introduction of regulations and market changes for related business sectors and conducts business activities, and as a part of companywide portfolio management, the Corporate Sustainability Department summarizes the status of major risks to the Group, taking into consideration global efforts relating to climate change and regulatory trends. The results are periodically reported to the Management Council and the Board of Directors. If there are any unacceptable risks from the perspective of the portfolio as a whole, measures including reduction of exposure are investigated with organizations responsible for risk management.

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Metrics and Targets

Targets : Effort for carbon neutrality

The Group has adopted the following as its basic policy on climate change issues.

- Reduce CO₂ emissions 50% or more by 2035 (compared to 2019)

Power generation business

CO₂ emissions: Reduce 40% or more (of which 60% reduction or more for coal-fired power generation business)

Net ownership generation capacity: coal 20%, gas 50% renewables 30%

Fossil fuel upstream business

CO₂ emissions (*1): Reduce 90% or more

- For coal-fired power generation business, no further involvement in IPP (Independent Power Producer) nor EPC (Engineering, Procurement, Construction) business and will end all the coal-fired power generation business in the late 2040s. For thermal coal mine interest, no additional investment and aim to achieve zero equity production from thermal coal mines by 2030.

- increase supply of renewable energy (3GW or more by 2030)

Targets : Effort for carbon neutrality(*2)

	Scope 1 Direct emissions	Scope 2 Indirect emissions from acquired electricity etc.	Scope 3 Other indirect emissions
Sumitomo Corporation/ Subsidiaries	Approx. 1 million tons (Excluding power generation business)		Fossil energy concession Approx. 16 million tons
Associated companies (equity method)	Thermal power generation business (Includes estimates for projects under construction.) Approx. 43 million tons		

*1 Indirect CO₂ emissions by others associated with the use of energy resources produced

*2 As of 2019

Results

CO₂ Emissions

(Thousand t-CO₂e)

Index	Result of 2019 (The base year)	Result of 2020	Percentage of change	Reduction targets of 2035
Entirety	59,939	55,367	▲ 7.6%	50% or more
Power generation business (*1)	43,126	40,581	▲ 5.9%	40% or more
Of which, coal-fired power generation (*1)	34,452	32,337	▲ 6.1%	60% or more
Fossil energy concession	15,808	13,811	▲ 12.6%	90% or more

Figures for active power generation projects and fossil energy interests are calculated with the advice of a third party.

(*1) Includes estimates for projects under construction.

Net ownership generation capacity portfolio (Figures noted in brackets indicate net ownership generation capacity)

(MW)

Index	Result of 2019 (The base year)	Result of 2020	Targets of 2035
Coal	54% (5,240)	53% (5,208)	20%
Gas	31% (3,011)	31% (3,011)	50%
Renewable energy (*2)	15% (1,397)	16% (1,509)	30%
Total	100% (9,651)	100% (9,731)	-

Net ownership generation capacity of Renewable energy

(MW)

Index	Result of 2019 (The base year)	Result of 2020	Targets of 2035
Renewable energy (*2)	1,397	1,509	3,000 or more

(*2) Includes capacity held by a fund whose management company is 51% owned by Sumitomo Corporation.

DX X Sustainability

Through its Group companies, Sumitomo Corporation conducts business globally on a wide range of industrial fields and has many business sites and customer bases. In order to solve on-site problems, create new customer value, and solve social issues, in addition to providing functions for trading and business investment, we collaborate with Group companies, such as SCSK, to provide digital transformation solutions from the comprehensive perspective unique to an integrated trading company.

Business description

Initiatives for Inter-Company EV Sharing and Energy Managing Using EVs

Against a backdrop of decreased opportunities for mobility in conjunction with the widespread practice of remote work due to the COVID-19 pandemic and the acceleration of initiatives that take environmental issues into consideration, the optimal status of company-owned vehicles and vehicles for company use is being called into question, and there are expectations regarding the use of digital technologies for optimum use.

The Sumitomo Corporation Group is developing a MaaS for Business service that proposes the best mobility mix from among the various forms of mobility available to corporations, and we are currently working to develop a new service model, referred to as e-MaaS for business, that utilizes electric vehicles (EVs). In collaboration with Nippon Gas Co., Ltd. and REXEV Inc., we launched a trial of an EV car sharing service for corporate clients in March 2021. Two EVs are located in a car port with solar panels on the roof. The vehicles are used for car sharing by multiple companies during business hours. In addition, digital technologies are employed to measure the rate of charging using renewable energy generated by the solar panels, calculate the amount of CO2 emissions reduction, and verify the possibility of energy management and environmental contribution.

In addition to achieving optimal use of company cars and giving consideration to the environment, in the future, we will investigate even more convenient and appealing new services and create new value.



Nippon Gas head office parking lot (Chuo-cho, Kagoshima City)



Tackling the challenges of new "Beyond Mobility" business that integrates mobility and different industries

Business description

Digital transformation in the production site utilizing local 5G communication

In order to resolve the issues of labor shortage and lack of skilled workers brought on by falling birthrate and aging population, automation, greater work efficiency, etc., have begun urgently necessary in recent years in manufacturing in Japan. To resolve these issues, interest is growing in the use of local 5G communication as infrastructure (*).

In 2021, Sumitomo Corporation conducted a pilot experiment for production site DX utilizing local 5G network at Summit Steel Osaka Factory, in cooperation with Sumitomo Corporation Global Metals, Sumitomo Shoji Machinex, Grape One, etc. The experiment specifically focused on automation of visual inspection through high-resolution image AI analysis and remote quality inspection with high-resolution image transmission in the local 5G environment. It became an effort that paves the way for the future of the production plant where various solutions are put into operation in a local 5G environment. The knowledge and experience gained through the experiment utilizing the local 5G infrastructure that supports social change is expected to be applied beyond manufacturing to a broad range of sectors, including medicine.

(*)The pilot experiment was selected by the Ministry of Internal Affairs and Communications (MIC) as a consignment project involving the investigation/examination of technological conditions for local 5G at manufacturing plants (automation of visual inspections and remote verification of quality) in connection with its FY2020 Development Demonstrations for Realizing Local 5G to Solve Local Issues.



Summit Steel Osaka Factory in operation (1)

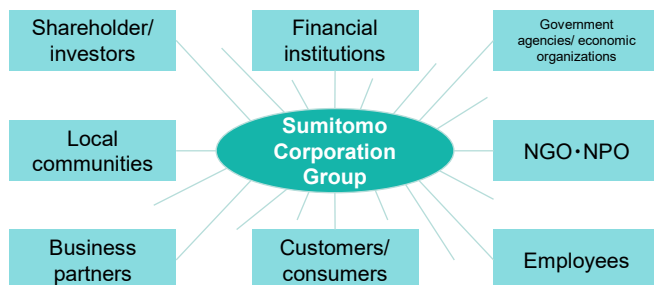


Summit Steel Osaka Factory in operation (2)

Stakeholder engagement

Relationships with Stakeholders

The Sumitomo Corporation Group places importance on dialogue with various stakeholders around us. To build a relationship of trust with each stakeholder, we proactively provide information on our activities and ensure continuous communication with them. Through these efforts, the Group keeps informed of stakeholders' expectations and concerns, based on which we will promote our sustainability and improve our long-term value.



Stakeholders	Major means of dialogue
Stakeholders/investors Financial institutions	General meeting of shareholders, Investor meeting for annual results, Investor Day, integrated report, annual securities report, business report for shareholders, website, reporting to credit rating agencies, etc.
Government agencies/economic organizations	Communication with government agencies and international organizations in Japan and abroad, participation in discussion meetings and round-table conferences with government offices, activities through business and industrial associations, etc.
Local communities	Dialogue with local residents in business activities and support for communities, social contribution activities, etc.
Business partners Customers/consumers	Integrated report, website, advertisements, customer information office, supply chain survey, etc.
NGOs/NPOs	Cooperation and communication with NGOs and NPOs in business activities, cooperation in social contribution activities, responses to surveys, etc.
Employees	Internal magazine, Intranet, training sessions and seminars, labor/management round-table meeting, employee awareness survey, the speak-up system, etc.

IR / SR Activities

(IR: Investor Relations SR: Shareholder Relations)

We facilitate direct communication with shareholders and other investors, in addition to enhancing disclosure on our website. During the COVID-19 pandemic, which started in 2020, we have also been utilizing online tools to maintain dialogue with our shareholders and investors. An executive officer with responsibility for dialogue with shareholders and other investors exercises overall control of and coordinates such IR initiatives shown below. Also, related in-house departments contribute to IR initiatives by distributing information and collecting feedback from shareholders and other investors. Going forward, the Company will continue to increase the transparency of its management, implementing fair disclosure at all times, integrating financial and nonfinancial information, and strengthening relationships of trust with shareholders and investors by displaying initiatives to increase the corporate value of the Sumitomo Corporation Group over the medium- to long-term.

FY2020 IR/SR Activities

	Apr.	May	Jun.	Jul.	Aug.	Sep.	Oct.	Nov.	Dec.	Jan.	Feb.	Mar.
		Announcement of annual results		Ordinary General Meeting of Shareholders	Announcement of 1st quarter results		Publication of the integrated report	Announcement of semi-annual results		Announcement of 3rd quarter results		
For individual investors						Meetings for individual investors			Meetings for individual investors		Meetings for individual investors	Meetings for individual investors
For analysts and institutional investors			ESG small meeting		Overseas IR roadshow			Overseas IR roadshow				Overseas IR roadshow

Notes: 1. IR events in Japan and SR talks in Japan and overseas are held throughout the year.
2. Meetings for individual investors are all held online.

Number of individual meetings with institutional investors in FY2020

Japan	Overseas			
	Europe	Asia & Oceania	The Americas	Total
100	30	41	12	83

Meeting for individual investors in FY2020

Number of Meetings (held online)	Number of Participants
4 times	3,804

ESG quantitative data

Environment (Climate change)

Item	Scope (*1)	Unit	FY2017	FY2018	FY2019	FY2020	
GHG Emissions (Scope1, 2) (*2)	Non-consolidated	t-CO2e	4,926	4,148	3,233	2,667	
			1,686,654	1,569,759	1,474,885	2,179,335	
	(Components) Scope1<Energy-related CO2>		934,276	939,346	791,730	1,522,514	
	Scope1<other GHGs>		-	0	0	4,210	
	Scope2		752,378	630,412	683,156	652,611	
	Intensity (per 1m)	Non-consolidated (in Japan)	t-CO2e/m	0.062	0.06	0.051	0.043
GHG Emissions (Scope3) (*3)	Logistics	Non-consolidated (in Japan)	t-CO2e	7,803	5,216	5,501	3,875
	Waste			6	6	15	5
	Overseas Business Trips			28,569	30,232	22,400	67
	Commuting			709	636	609	140
	Downstream Leased Assets			36,894	35,230	33,662	30,294
	Total			73,980	71,320	62,187	34,381

(*1) The boundary of "Consolidated" is non-consolidated, consolidated subsidiaries and Joint operations. We have added Joint operations to the boundary from FY2020. For Joint operations, the amount equivalent to the investment ratio as of the end of March of the reporting period is included in the environmental data. One site of the Joint operations is excluded from the scope of FY2020 because its data collection system is not in place yet.

(*2) * CO2 emission factors for electricity:
(Non-consolidated in Japan) The basic emission coefficients of individual power companies.
(Consolidated subsidiaries in Japan) The average emission coefficient of all power companies.
(Overseas) Emission factors from electricity generation are based on the country-specific data in 2013 listed on "CO2 EMISSIONS FROM FUEL COMBUSTION 2016 EDITION", an IEA (International Energy Agency) statistics.

* CO2 emission factors other than those from electricity generation are based on a manual for GHG emissions accounting, reporting, and disclosure systems published by Japan's Ministry of the Environment and Ministry of Economy, Trade and Industry.

* Group companies emitting more than 3,000 t-CO2e for each gas per year are subject to the aggregation of Scope1<other GHGs (Non energy-related CO2 and greenhouse gases other than CO2)>, under the Greenhouse Gas Emissions Accounting, Reporting, and Disclosure System in Japan. In FY2018 and FY2019, we aggregated non-consolidated and consolidated subsidiaries in Japan and the scope of Scope1<other GHGs> was expanded to consolidated (excluding Joint operations) in FY2020.

* Scope1 <other GHGs> 4,210 t-CO2e in FY2020 was derived from Dinitrogen monoxide (N2O).

* The main reason for the increase of GHG emissions in FY2020 compared to FY2019 is the addition of Joint operations to the boundary of data.

* The CO2 emissions from Joint operation in the power generation business are included in the FY2019 results, which is the base year of Sumitomo Corporation Group's carbon neutrality, and FY2020 results in this book -Our Climate Change Initiatives-. The scope of Sumitomo Corporation Group's carbon neutrality includes the following in addition to the GHG emissions above;

Scope1,2: Direct CO2 emissions from Sumitomo Corporation's affiliated companies under the equity method for power generation businesses, as well as indirect CO2 emissions from the generation of energy used by those companies.

Scope3 : Indirect CO2 emissions associated with the use of energy resources produced by fossil energy concession of Sumitomo Corporation Group, its subsidiaries, and affiliated companies under the equity method.

Please see this book -Our Climate Change Initiatives- for details of the Sumitomo Corporation Group carbon neutral.

* We couldn't collect the environmental data for 38 sites due to COVID-19 lockdown or working from home in FY2019. In FY2018, GHG emissions of these sites were equivalent to about 5.2% of the total GHG emissions.

(*3) * GHG emissions from logistics include the transport of cargo within Japan for which Sumitomo Corporation is the cargo owner, and are calculated based on a manual for GHG emissions accounting, reporting, and disclosure systems published by Japan's Ministry of the Environment and Ministry of Economy, Trade and Industry.
Sumitomo Corporation complies with the Act and reduces the use of energy of transportation through promotion of modal shift (utilization of railroads and vessels), optimization of delivery routes and loading on vehicles, promotion of eco-driving, etc. We have set a target of reducing the use of energy from logistics per shipping weight by at least 1% annually in Japan.

* GHG emissions from waste are calculated from all general waste of Sumitomo Corporation.

Up to FY2018, emissions were calculated using emission intensity for incineration treatment published by the Carbon Footprint Communication Program. The results after FY2019 were calculated using the emission intensity for each type of waste, which is published in the emission intensity database for calculating greenhouse gas emissions and other emissions by organizations throughout the supply chain. The calculation of GHG emissions for FY2020 uses the emission intensity database Ver.3.1.

* GHG emissions due to overseas business trips are the emissions from flights departing from and arriving in Japan that Sumitomo Corporation employees took. Business trip destinations are classified into 12 areas and passenger-kilometers are estimated based on the travel distance between Japan and representative airport of each area. GHG emissions due to overseas business trips are calculated by applying CO2 emission factors published by the UK's Defra to the passenger-kilometers.

* GHG emissions from commuting are those from the commuting of Sumitomo Corporation's employees working in Japan, calculated by using the emissions factors per passenger-kilometer for passenger transport by transport mode published in the Ministry of Land, Infrastructure, Transport and Tourism publication "CO2 Emissions in the Transport Sector."

* GHG emissions from downstream leased assets are those from the buildings that Sumitomo Corporation owns and leases to tenants, using by CO2 emission factors described in the Act on the Rational Use of Energy in Japan.

* GHG emissions (the above Scope1, 2 and Scope3) were 1,641,079t-CO2e/1,537,072t-CO2e/2,213,716t-CO2e in FY2018, FY2019, and FY2020 respectively.

ESG quantitative data

Environment (Climate change)

Item	Scope (*1)	Unit	FY2017	FY2018	FY2019	FY2020
Energy Consumption (*2)	Non-consolidated	GJ	48,472	49,904	42,635	38,067
	Consolidated		18,097,583	17,748,255	17,062,311	29,574,235
Intensity (per m)	Non-consolidated (in Japan)	GJ/m	0.611	0.761	0.720	0.654
Electricity Consumption (*3)	Non-consolidated	MWh	7,536	5,773	4,526	3,521
	Consolidated		1,535,347	1,412,661	1,534,809	1,525,641
Intensity (per m)	Non-consolidated (in Japan)	MWh/m	0.098	0.082	0.070	0.055

(*1) The boundary of "Consolidated" is non-consolidated, consolidated subsidiaries and Joint operations. We have added Joint operations to the boundary from FY2020. For Joint operations, the amount equivalent to the investment ratio as of the end of March of the reporting period is included in the environmental data. One site of the Joint operations is excluded from the scope of FY2020 because its data collection system is not in place yet.

(*2) * Energy conversion factor from electricity consumption: 3.6 (MJ/kWh).

* Energy conversion factors from other than electricity consumption are based on the Act on the Rational Use of Energy in Japan.

* The main reason for the increase of energy consumption in FY2020 compared to FY2019 is the addition of Joint operations to the boundary of data.

* We couldn't collect the environmental data for 38 sites due to COVID-19 lockdown or working from home in FY2019. In FY2018, energy consumption of these sites were equivalent to about 7.3% of the total energy consumption.

(*3) * The amount of electricity consumption which generated from renewable energy was 77,852MWh in FY2020.

* Consolidated electricity consumption includes the electricity purchased from power generation companies within the boundary of environmental data.

* We couldn't collect the environmental data for 38 sites due to COVID-19 lockdown or working from home in FY2019. In FY2018, electricity consumption of these sites were equivalent to about 7.1% of the total electricity consumption.

Environment (Water)

Item	Scope (*1)	Unit	FY2017	FY2018	FY2019	FY2020
Water Consumption (*2)	Non-consolidated	m³	21,609	13,897	11,777	4,460
	Consolidated		130,821,214	118,235,911	20,143,772	93,119,589
Intensity (per employee)	Non-consolidated (in Japan)	m³/employee	4.883	3.525	3.420	1.300
(Components of Water Source)	Third-party sources	m³	—	3,378,261	4,206,078	4,806,779
	Groundwater		—	110,100,910	13,007,683	56,084,893
	Rivers, Lakes		—	4,756,698	2,929,981	31,700,505
	Ocean		—	0	0	1,600
	Rainwater		—	42	30	525,813
	Consolidated		—	—	—	—
Water consumption in water-stressed areas (*3)	Number of sites	site	—	—	74	60
	Water consumption	m³	—	—	366,026	2,041,468
	(Components) Third-party sources		—	—	303,411	793,272
	Groundwater		—	—	62,615	720,797
	Rivers, Lakes		—	—	—	—
	Ocean		—	—	—	1,600
	Rainwater		—	—	—	525,798
	Consolidated		—	—	—	—
Water Discharge (Sewer) (*4)	Non-consolidated	m³	21,609	13,897	11,777	4,460

(*1) The boundary of "Consolidated" is non-consolidated, consolidated subsidiaries and Joint operations. We have added Joint operations to the boundary from FY2020. For Joint operations, the amount equivalent to the investment ratio as of the end of March of the reporting period is included in the environmental data. One site of the Joint operations is excluded from the scope of FY2020 because its data collection system is not in place yet.

(*2) * Water consumption has been reduced by installing water-saving device for employee cafeteria and using recycling water for toilet flushing at Head office.

* We couldn't collect the environmental data for 38 sites due to COVID-19 lockdown or working from home in FY2019. In FY2018, Water consumption of these sites were equivalent to about 50.5% of the total water consumption.

* The main reason for the increase of water consumption in FY2020 compared to FY2019 is the reactionary increase due to the lack of the environmental data for some sites by COVID-19 lockdown or working from home in FY2019, and the addition of Joint operations to the boundary of data from FY2020.

(*3) The above water consumption was calculated based in the water risk level of 3 (High) or higher based on the World Resources Institute (WRI)'s "WRI Aqueduct".

(*4) Since all sites are discharged into the sewer, it is equivalent to the amount of water consumption.

Disclosure based on IBC Stakeholder Capitalism Metrics

Principle of Governance

: Core Metric : Expanded Metric

Theme	Metric	Response
Ethical Behaviour	Protected ethics advice and reporting mechanisms A description of internal and external mechanisms for: 1. Seeking advice about ethical and lawful behaviour and organizational integrity; and 2. Reporting concerns about unethical or unlawful behaviour and lack of organizational integrity.	Our internal rules stipulate "Immediate Report", which means that any issues or potential issues in relation to compliance must be reported immediately to their line manager or to the relevant department of the Corporate Group. Such issues include not only the violation of antitrust/competition laws or anti-bribery/corruption laws but also workplace misconduct, falsification of accounts, or harassment. If reporting through the usual reporting line is difficult for some reason, we maintain a "Speak-Up System" available to officers and employees to report the issue to the Chief Compliance Officer through an internal or external hotline. In addition, we have developed and launched the group-based Speak-Up System, which enables officers and employees of group companies both in and outside Japan to report compliance-related issues. For more details, please see our website . Also, appropriate departments respond to advice and reports received from external stakeholders through the Contact Form on our website, etc.
	Monetary losses from unethical behaviour Total amount of monetary losses as a result of legal proceedings associated with fraud, insider trading, anti-trust, anti-competitive behaviour, market manipulation, malpractice or violations of other related industry laws or regulations.	In FY2020, there was no incident (monetary loss) at Sumitomo Corporation.
Risk and Opportunity Oversight	Integrating risk and opportunity into business process Company risk factor and opportunity disclosures that clearly identify the principal material risks and opportunities facing the company specifically (as opposed to generic sector risks), the company appetite in respect of these risks, how these risks and opportunities have moved over time and the response to those changes. These opportunities and risks should integrate material economic, environmental and social issues, including climate change and data stewardship.	Sumitomo Corporation Group faces a variety of social issues in the course of its wide-ranging business activities. As the world strives to achieve a sustainable society, in 2020, we have identified 6 key social issues and their long-term goals to further clarify our role. Furthermore, in 2021, based on the long-term goals, we have set mid-term goals to promote more specific initiatives, such as the development of business opportunities that capture changes in the business environment surrounding each issue and the development of risk management mechanism. The progress of these initiatives will be monitored and discussed at the Corporate Sustainability Committee. In addition, when making new business investment, we assess its social and environmental impact. The Company Investment Committee*, which the Corporate Sustainability team is a member of, discusses including the perspective of social and environmental risks and opportunities. *Advisory body to the Management Council, which is the highest executive-level decision-making body Please see page 9 for our business risks and opportunities identified for various sustainability topics.
	Economic, environmental and social topics in capital allocation framework How the highest governance body considers economic, environmental and social issues when overseeing major capital allocation decisions, such as expenditures, acquisitions and divestments.	At Sumitomo Corporation, the discussion of management resource allocation is done at the biannual Strategy Meeting where the top management participates. The decision is finalized at the Management Council, which is the highest executive-level decision-making body and is executed under the supervision of the Board of Directors. When setting the areas of business growth fields, which are the focus points of the resource allocation in each business areas, we also consider opportunities and risks in each business areas that arise from social issues. When discussing a new investment opportunity in individual business, we consider not only profitability, but also environmental and social impacts and/or risks based on the uniqueness of the business. If necessary, we hire an external expert and conduct a thorough due diligence on the environmental and social aspects (i.e. pollution, biodiversity, use of water and other limited natural resources, respect of human rights, occupational health and safety, other workplace environment, impact on local communities etc.) and make the final investment decision. Also, we continuously monitor the environmental and social impact in the post-investment process as well. In addition, policies and initiatives pertaining to non-financial aspects that are essential for promoting our sustainability management are discussed at the Corporate Sustainability Committee and then proposed at the Management Council. All of these processes are carried out under the supervision of the Management Council as well as the Board of Directors. For more information on our risk management, please refer to page 120, 121.

Disclosure based on IBC Stakeholder Capitalism Metrics

Planet

 : Core Metric
 : Expanded Metric

Theme	Metric	Response
Climate Change	Greenhouse gas (GHG) emissions For all relevant greenhouse gases (e.g. carbon dioxide, methane, nitrous oxide, F-gases etc.), report in metric tonnes of carbon dioxide equivalent (tCO ₂ e) GHG Protocol Scope 1 and Scope 2 emissions. Estimate and report material upstream and downstream (GHG Protocol Scope 3) emissions where appropriate.	Sumitomo Corporation Group's greenhouse gas emissions (t-CO ₂ e) for FY2020 are as follows: • Scope 1: 1,526,724 (Breakdown of GHG type) CO ₂ 1,522,514 N ₂ O 4,210 • Scope 2: 652,611 • Scope 3 Upstream Transportation and Distribution: 3,875 • Scope 3 Waste: 5 • Scope 3 Business Trips: 67 • Scope 3 Employee Commuting: 140 • Scope 3 Downstream Leased Assets : 30,294 For more information such as the reporting boundaries and CO ₂ emissions, see our Environmental Data available on page 124. Also, please refer to page 39 for our CO ₂ emission reduction initiatives that we announced as the mid-term goal for climate change mitigation.
	TCFD implementation Fully implement the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD). If necessary, disclose a timeline of at most three years for full implementation. Disclose whether you have set, or have committed to set, GHG emissions targets that are in line with the goals of the Paris Agreement – to limit global warming to well below 2°C above pre-industrial levels and pursue efforts to limit warming to 1.5°C – and to achieve net-zero emissions before 2050.	Sumitomo Corporation has been supporting the TCFD recommendations since March 2019. Please see page 25 to 39 for the disclosure on governance, strategy, risk management, targets and KPIs related to climate change based on the TCFD recommendations. Also, we have identified "mitigation of climate change" as one of the 6 key social issues which the Group will address to achieve a sustainable society. As a long-term goal, the Group will aim to carbon neutralize its business by 2050, and also will aim to achieve its mid-term goal, which is to reduce CO ₂ emissions by 50% or more by 2035 compared to 2019 levels.
	Paris-aligned GHG emissions targets Define and report progress against time-bound science-based GHG emissions targets that are in line with the goals of the Paris Agreement – to limit global warming to well below 2°C above pre-industrial levels and pursue efforts to limit warming to 1.5°C. This should include defining a date before 2050 by which you will achieve net-zero greenhouse gas emissions, and interim reduction targets based on the methodologies provided by the Science Based Targets initiative, if applicable. If an alternative approach is taken, disclose the methodology used to calculate the targets and the basis on which they deliver on the goals of the Paris Agreement.	As stated above, we have a long-term goal of seeking to become carbon neutral in the Group's business by 2050 and we will also contribute to the carbon neutralization of society. Also, we have set a mid-term goal of reducing the CO ₂ emissions by 50% or more by 2035 compared to 2019 levels. For specific action plans and initiatives, please see page 27 and 39.

Disclosure based on IBC Stakeholder Capitalism Metrics

Planet

 : Core Metric
  : Expanded Metric

Theme	Metric	Response
Nature Loss	Land use and ecological sensitivity Report the number and area (in hectares) of sites owned, leased or managed in or adjacent to protected areas and/or key biodiversity areas (KBA).	The Group does not disclose this information, however, we have a process in place to consider the impact on land use and ecosystems when considering new investments and loans.
Fresh water availability	Water consumption and withdrawal in water-stressed areas Report for operations where material: mega litres of water withdrawn, mega litres of water consumed and the percentage of each in regions with high or extremely high baseline water stress, according to WRI Aqueduct water risk atlas tool. Estimate and report the same information for the full value chain (upstream and downstream) where appropriate.	The Group's water consumption and withdrawal in water-stressed areas(*) for FY2020 are as follows: • Total water consumption : 40,400 mega liters Of this, 4.1% in water-stressed areas* • Total water withdrawal : 93,120 mega liters Of this, 2.2% in water-stressed areas* (*) Water-stressed areas :The regions with high or extremely high baseline water stress, according to WRI Aqueduct water risk atlas tool.